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THE GLOBAL
LITIGATION
FUNDING
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PROJECTED TO
REACH \$25.8
BILLION BY
2030, PER
CUSTOM MARKET
INSIGHTS

FOR 49-YEAR-OLD Goutam Lall Seal of Kolkata, discussions around court cases or litigation were common during dinnertime as he comes from a family that owns large tracts of land across the City of Joy. These land parcels brought with them legal disputes with entities such as tenants and developers, and Seal had seen his father regularly shuttle between the courts and his home.

Around the end of 2021, Seal heard of a venture that provides funding for litigation matters. “Money was not an issue but we decided to explore the option for the analytical tools that the start-up was offering... those would guide us in our legal battles,” he says.

Litigation financing, as the space is referred to, is huge globally and fast gaining traction in India, with many start-ups entering the fray. The global litigation funding market was estimated at \$12.2 billion in 2022 and is projected to reach \$25.8 billion by 2030, with a CAGR of roughly 9 per cent between 2022 and 2030, per a report by Custom Market Insights, a market research and advisory company.

“There is tremendous scope for growth of litigation funding in India,” says Ashish Chhawchharia, Partner and Head-Restructuring Services, Grant Thornton Bharat. “With the rising legal costs in India, there are severe limitations faced by companies and litigants to continue with the litigations and [they] often end up closing [cases] prematurely.”

But what is litigation financing? Simply put, it refers to third-party entities providing funding to help companies or individuals pursue legal tussles. More importantly, these ventures also help entities choose the right legal strategy with their AI-backed analytics tools. For the Seals—or any entity in the midst

of legal battles—this means pursuing only those matters that have a high probability of winning and can be resolved fast. Helping the Seals with the insights is Kolkata-based FIGHTRIGHT. “We have our own proprietary platform which helps us in mapping the entire litigation journey in terms of predictive/generative analysis. We have deep insights into what to do and how to do it,” says Founder & CEO Nitin Jain.

Besides FIGHTRIGHT, other start-ups that provide such services in India include LegalPay, LegalFund and LitiCap, among others. Globally, Parabellum Capital, Bentham Capital, Juridica Investments, Burford Capital LLC, Woodsford Litigation Funding, Apex Litigation Finance and Omni Bridgeway are the big names with proven track records in the field of litigation funding.

A HELPING HAND

In India, legal battles are often looked upon as complicated, where entities need to first search for a good lawyer and follow it up with money to bear the legal costs—which could be huge, given the time taken for an average case to be resolved in courts. For instance, there were nearly 43.5 million pending cases across all courts in India as of May 1, 2023, per data from the National Judicial Data Grid.

As facilitators, the start-ups in the field knew they had to offer something more than just money: insights based on data. “We realised that you cannot map a litigation journey without technology. Data would be extremely important. Most of the research that is available currently is at the High Court- and Supreme Court levels, which are appeal courts. But we do research at the district-court level,